OCAD - ONE COMPANY A DAY

SERIES: HEALTHCARE

UnitedHealth Group Incorporated

UNH | New York Stock Exchange

USD 424.98 per share

Closing price, Thursday 22 October 2026, latest completed trading day



UNH daily closing price, 23 July to 22 October 2026, USD per share. Source: StockAnalysis.com, S&P Global Market Intelligence.

REPORT DATE	ANALYST	SERIES	EXCHANGE
23 October 2026	Arthur Faugeron	Healthcare	New York Stock Exchange

Executive Summary

UnitedHealth Group is the largest US health insurer and, through Optum, a large operator of physician groups, a pharmacy benefit manager and a health-data business. Earnings fell for two consecutive years (diluted EPS of USD 23.86 in 2023, USD 15.51 in 2024 and USD 13.23 in 2025) as medical costs outran Medicare Advantage premiums, and 2026 is a repair year in which the company guides to adjusted EPS of at least USD 20.50.

Business

UnitedHealth earns premiums from about 48.3 million medical plan members at UnitedHealthcare and fees and pharmacy margins through Optum Health, Optum Insight and Optum Rx. Revenue was USD 447.96bn in fiscal 2025, almost all in the United States, and premium revenue from risk-based products was close to 80% of the total. The model combines insurance risk with ownership of care delivery and pharmacy supply, so a dollar of premium can be re-earned by an Optum unit as it is spent.

Financial Condition

Trailing twelve-month revenue to September 2026 is USD 450.06bn, up 3.4%, after 11.9% growth in 2025. Operating income was USD 26.34bn (5.9% margin) against USD 32.36bn (8.7%) in 2023. Net income was USD 15.88bn, operating cash flow USD 19.70bn and free cash flow USD 16.08bn in fiscal 2025, with trailing free cash flow of about USD 22.8bn. Total debt including leases was USD 83.0bn at December 2025 against USD 24.4bn of cash.

Market Position

The principal competitors are Elevance Health, CVS Health (Aetna and Caremark), Cigna (Evernorth) and Humana. UnitedHealth is the largest by revenue and the only one that combines a top-tier insurer with a large care-delivery, analytics and pharmacy platform. Its main weakness is concentration in government-funded programs: premium revenue from the Centers for Medicare and Medicaid Services was 44% of 2025 consolidated revenue.

Valuation

At USD 424.98 the market capitalization is about USD 380.7bn and enterprise value USD 429.2bn. The trailing P/E is 24.2x, the forward P/E 18.7x, EV/EBITDA 14.9x, P/FCF 16.7x and EV/Sales 0.96x. The trailing multiples sit above the managed-care peers because earnings are still depressed relative to 2023.

Investment Framework

WHAT IS ATTRACTIVE	Medical care ratio improved to 88.4% in the third quarter of 2026 from 89.9% a year earlier, segment earnings from operations rose to USD 23.5bn for nine months from USD 18.6bn, and the business has scale in insurance, care delivery and pharmacy that no peer matches in full.
WHAT IS CONCERNING	Net income is still 29% below its 2023 level, Medicare Advantage and Medicaid enrolment are shrinking (7.6 million and 6.7 million members), debt has risen from USD 46.0bn to USD 83.0bn since 2021, and federal investigations remain open.
WHAT MUST GO RIGHT	Medical cost trend must stay below pricing, Optum Health must return to sustained profit after its restructuring, and operating margin must recover toward 7 to 8% without a further rise in leverage.

WHAT COULD BREAK THE THESIS	A repeat of 2025-style cost overruns, an adverse outcome in the Department of Justice matters, or a cut in Medicare Advantage rates or risk-adjustment payments.
PRICED IN	The forward P/E of 18.7x capitalizes recovery to roughly USD 22.6 of earnings per share; the stock has risen 30.6% in 2026 so far, so a good part of the repair is already in the price.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Diversified across four segments with a 2021 to 2023 operating margin of 8.1 to 8.8%, but 2025 showed that margins depend on medical cost control.
Financial quality	Moderate. Operating cash flow exceeded net income by 1.63x in 2025, but free cash flow fell from USD 25.7bn in 2023 to USD 16.1bn.
Competitive position	Strong. Largest US insurer by revenue with owned care delivery, pharmacy and data assets.
Growth profile	Moderate. 11.7% revenue CAGR from 2021 to 2025, slowing to 3.4% on a trailing basis as the company reprices and exits unprofitable business.
Balance-sheet risk	Moderate. Debt to EBITDA of 2.4x and interest cover of 6.8x; debt to capital of 41.7% against a company target of about 40%.
Valuation	Neutral. Above peers on trailing and forward earnings, near its own free cash flow yield range; sensitive to margin recovery.
Market and technical profile	Strong momentum, stretched in the short term: 14-day RSI of about 81 and a price 9% above its 50-day average.

Source: analyst assessment based on the data in sections A to C.

A. About the Business

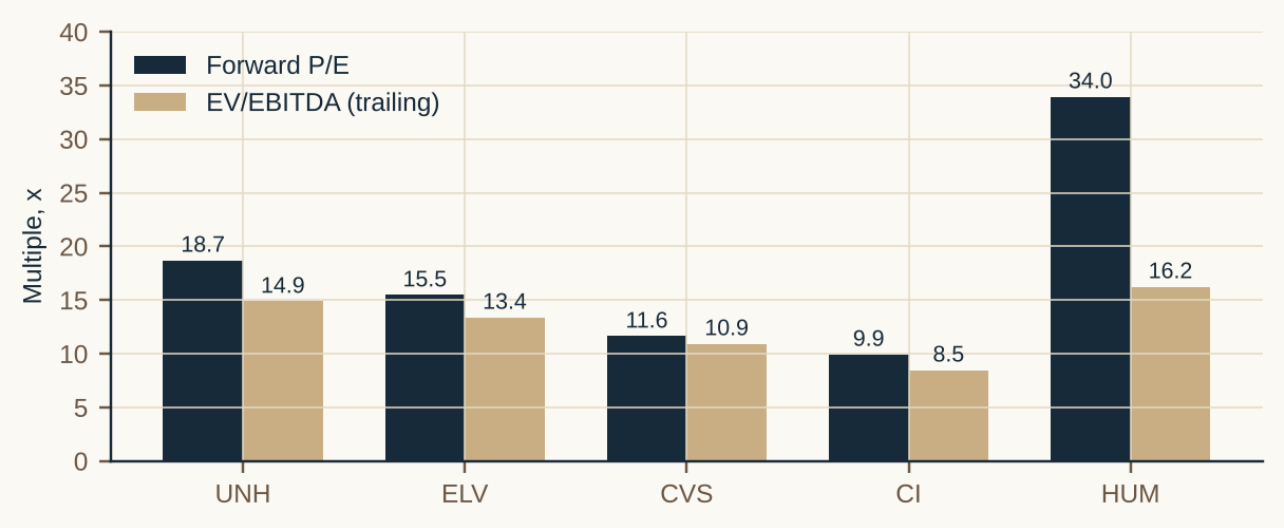
A1. Business Environment

The company operates in US health benefits and health services. The value chain runs from payers (employers, federal and state governments, individuals) through insurers and pharmacy benefit managers to providers (hospitals, physician groups, pharmacies) and the drug and device makers behind them. Money enters mainly as premiums from employers and from the federal Medicare and state Medicaid programs, and leaves as claims paid to providers and drug costs. Insurers keep the spread between premium and claims, so the central industry economic is the medical care ratio, claims divided by premiums, which for UnitedHealth was 88.4% in the third quarter of 2026.

Scale in the sector is large. The four closest listed peers had trailing revenue of USD 201.8bn (Elevance Health), USD 412.7bn (CVS Health), USD 282.4bn (Cigna) and USD 145.7bn (Humana) against UnitedHealth's USD 450.1bn. Operating margins are thin everywhere, 2.3 to 4.0% for the peers against 5.9% for UnitedHealth, so a one-point error in the claims forecast can remove a large share of profit. Capital intensity is low (UnitedHealth capex was 0.8% of revenue in 2025) but regulatory and reserve capital requirements are real, and a large part of earnings is retained in regulated subsidiaries.

The industry is mature in structure, cyclical in profit and consolidating vertically. Premium pricing resets once a year while medical cost trends move continuously, which creates multi-year cycles of under-pricing followed by repricing. Regulation is the largest external driver: Medicare Advantage payment rates are set annually by the federal government, and risk-adjustment coding rules determine how much each member is worth. The proposed 2026 Medicare Advantage rate increase of 5.06% was reported to be more than double the 2.23% proposed by the prior administration, which illustrates how directly policy translates to insurer profit.

Forward P/E and trailing EV/EBITDA, UnitedHealth and four managed-care peers



Source: StockAnalysis.com statistics pages, 22 and 23 October 2026. Units: multiple (x).

INDUSTRY STAGE

> Mature and cyclical, with consolidation along the value chain. Premium growth is steady but profit moves with the claims cycle and with federal payment policy, as the 2024 to 2025 earnings decline shows.

A2. What Does the Company Do?

UnitedHealth Group has four reportable segments. UnitedHealthcare sells health benefit plans in three groups: Employer and Individual (29.7 million members at December 2025), Medicare and Retirement (including 8.4 million Medicare Advantage members, 10.4 million Part D members and 4.3 million Medicare Supplement members) and Community and State (nearly 7.4 million Medicaid members). Optum Health provides care delivery, care management and value-based care arrangements to about 95 million consumers, including contracts in which it carries the medical cost risk for a monthly payment. Optum Insight sells data, analytics, consulting and technology to hospitals, health plans, governments and life sciences companies and reported a contract backlog of about USD 31.1bn at year-end 2025. Optum Rx is a pharmacy benefit manager that managed USD 188bn of pharmaceutical spending in 2025. From 1 January 2026 Optum Financial moved from Optum Health to Optum Insight, so prior segment figures are recast.

Revenue is mostly recurring: premiums are contracted for a year and pharmacy volumes are repeat. In the third quarter of 2026 segment revenue was USD 86.3bn at UnitedHealthcare, USD 22.9bn at Optum Health, USD 5.5bn at Optum Insight and USD 39.9bn at Optum Rx before eliminations of inter-segment sales. Insurance and pharmacy are the economically important parts: UnitedHealthcare and Optum Rx earned USD 16.9bn of the USD 23.5bn nine-month segment operating earnings, while Optum Insight, with only 5% of revenue, earned USD 3.6bn at a much higher margin.

How one dollar of revenue is used

In fiscal 2025 policy benefits (claims) took 70.0 cents of each revenue dollar, selling, general and administrative costs 13.0 cents and depreciation and amortization 1.0 cent, leaving 4.8 cents of operating income. Interest took 0.9 cents and tax 0.4 cents. In 2023 claims took 65.1 cents and operating income was 8.7 cents, which shows how sensitive profit is to the claims share.

1. CUSTOMER
Employers, individuals, Medicare, Medicaid, health systems, drug manufacturers

2. PRODUCT AND SERVICE
Health plans, care delivery, pharmacy services, data and analytics

3. REVENUE
USD 448.0bn in 2025: premiums USD 352.2bn, services and other USD 91.4bn, investment income USD 4.3bn

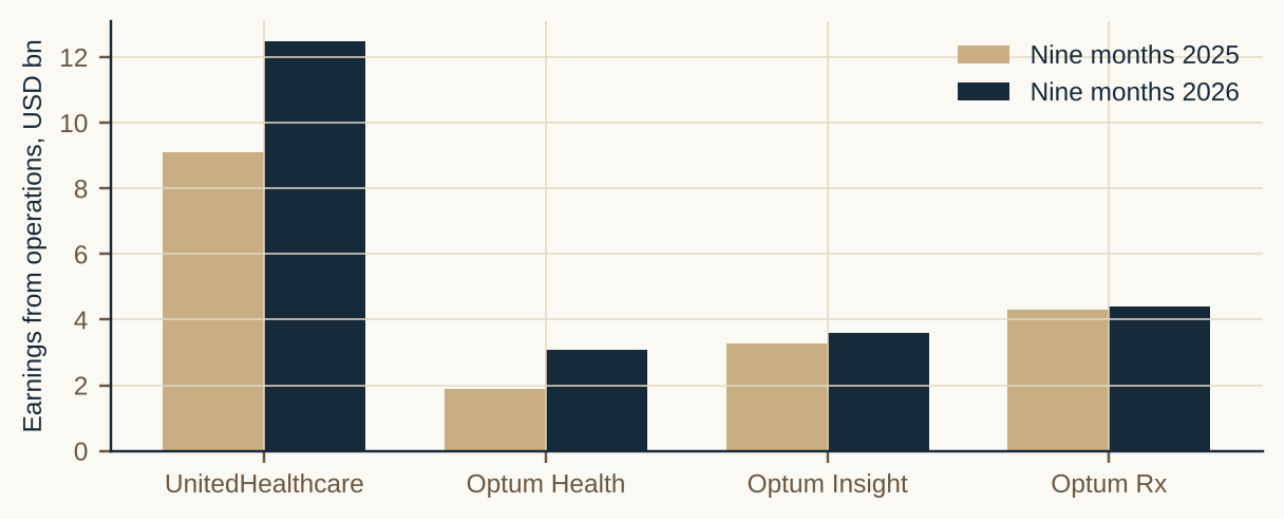
4. COSTS
Claims 70.0 cents, SG&A 13.0 cents, other operating costs about 11 cents per dollar

5. OPERATING PROFIT
USD 21.4bn, 4.8% margin (2025); USD 26.3bn, 5.9% trailing

6. CASH FLOW
Operating cash flow USD 19.7bn, free cash flow USD 16.1bn (2025)

7. CAPITAL ALLOCATION
Dividends USD 7.9bn, buybacks USD 5.5bn, acquisitions USD 4.5bn (2025)

Earnings from operations by segment, nine months to 30 September



Source: UnitedHealth Group Form 8-K, third quarter 2026 earnings release. Units: USD bn.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Federal government (CMS)	Pays Medicare Advantage and Part D premiums; 44% of 2025 revenue	Rate notices and risk-adjustment rules set the largest single revenue line.
State Medicaid agencies	Contract for Community and State plans; about 6.7 million members	Rates are renegotiated yearly and membership is being re-bid.
Employers	Buy commercial plans (29.8 million members) and Optum Rx services	Stable, repriced annually; the base of the fee and premium business.
Providers and pharmacies	Paid claims; also employed physicians through Optum Health	Largest cost pool; ownership lets the group capture margin on both sides.
Drug manufacturers	Rebate and formulary counterparties of Optum Rx	Rebate economics and regulation of pharmacy benefit managers affect Optum Rx margin.
Health systems and governments	Optum Insight customers; backlog about USD 31.1bn	Provides high-margin recurring fees and data used across the group.
Brands and subsidiaries	UnitedHealthcare, Optum Health, Optum Insight, Optum Rx, Optum Financial	Segment structure determines reporting and internal sales between units.

Source: UnitedHealth Group Form 10-K for 2025 and third quarter 2026 earnings release.

A4. Competition

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS

Company	Revenue	Op. margin	Fwd P/E	EV/EBITDA	Net debt
UnitedHealth	450.1bn	5.9%	18.7x	14.9x	48.5bn
Elevance Health	201.8bn	4.0%	15.5x	13.4x	20.4bn
CVS Health	412.7bn	3.0%	11.6x	10.9x	62.3bn
Cigna	282.4bn	3.9%	9.9x	8.5x	N/A
Humana	145.7bn	2.3%	34.0x	16.2x	7.9bn

Source: StockAnalysis.com statistics pages, 22 and 23 October 2026. Net debt is enterprise value less market capitalization as reported by the provider.

The peers are chosen because they compete for the same employer contracts, Medicare Advantage and Medicaid lives, pharmacy benefit volumes and physician talent. Elevance Health is the closest insurer by business mix, strong in commercial and Medicaid. CVS Health pairs Aetna with the Caremark pharmacy benefit manager and retail and care-delivery assets, so it is the nearest vertically integrated rival to Optum. Cigna's Evernorth pharmacy and services unit competes with Optum Rx. Humana is a near pure play on Medicare Advantage and therefore the best read on that program. Each is smaller than UnitedHealth in total revenue except CVS, which is comparable in revenue but earns about half the operating margin. Indirect competitors include hospital systems that run their own plans and technology vendors in health analytics; the emerging threat is regulation and transparency mandates that reduce pharmacy benefit manager spreads.

A5. Competitive Differences

UnitedHealth's advantages are scale, data and vertical integration. With 48.3 million medical members it spreads fixed cost over a wider base than any peer and holds the largest claims data set. Optum Health, Optum Insight and Optum Rx let the group capture margin on money it would otherwise only pass through, and employer customers value a single national network. The structural advantages are scale and the integrated platform; the temporary one is the pricing recovery now under way. Disadvantages are concentration in government programs (CMS premiums 44% of revenue), exposure to risk-adjustment coding rules, the lower profit of Optum Health, which earned USD 41m in the third quarter of 2025, and a reputation and regulatory burden that comes from being the largest participant. Switching costs are moderate: employers change carriers regularly, but national contracts and networks are slow to replace.

MOAT ASSESSMENT: MODERATE TO STRONG

> Scale and integration support a 5 to 9% operating margin through the cycle against 2 to 4% for peers, but the 2025 margin of 4.8% shows that the moat does not remove claims-cost risk and depends on regulatory goodwill.

A6. Industry Trend

The industry is mature and cyclical with a consolidating, vertically integrating structure. The recent cycle began when higher use of care, particularly in Medicare Advantage, pushed medical care ratios up in 2024 and 2025 (UnitedHealth's first-quarter 2025 ratio rose to 84.8% from 84.3%, and the company cut and then withdrew its 2025 guidance). The industry response has been repricing, benefit reductions and exit from unprofitable counties, which shows in UnitedHealth's falling Medicare Advantage enrolment (7.6 million against 8.4 million a year earlier) and a medical care ratio that improved to 88.4% in the third quarter of 2026. These are partly temporary conditions: they reverse if use of care keeps rising or if the government cuts payments. The structural trends are ageing demographics, movement of care to value-based contracts, regulatory attention to pharmacy benefit managers and risk adjustment, and the use of data and automation. The current trend would reverse if claims inflation again exceeds pricing, if federal rates fall short of cost growth or if reform of pharmacy benefit manager economics reduces the Optum Rx spread.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Stephen J. Hemsley	Chief Executive Officer and Chairman	Former longtime CEO of UnitedHealth; returned as CEO on 13 May 2025 when Andrew Witty stepped down.
Wayne S. DeVeydt	Chief Financial Officer	Senior financial executive in managed care before joining UnitedHealth.
Patrick H. Conway	CEO, Optum	Leads the Optum businesses (care delivery, data and pharmacy).
Timothy J. Noel	CEO, UnitedHealthcare Business	Leads the insurance segment, the largest earnings contributor.
Christopher R. Zaetta	EVP, Chief Legal Officer and Corporate Secretary	Oversees legal matters including government investigations.

Source: StockAnalysis.com company profile and company announcements, October 2026.

The 2025 return of Mr. Hemsley was a reaction to a failed forecast: the company cut and then withdrew its 2025 outlook, the shares fell 17.7% on the day of the announcement and more than a third over the preceding weeks, and the company also faced a Department of Justice probe into Medicare Advantage diagnosis reporting and an antitrust probe into physician-group acquisitions. Capital allocation has been active but has not matched returns to earnings: between 2021 and 2025 the company spent USD 54.3bn on acquisitions, USD 34.5bn on buybacks and USD 33.5bn on dividends, and diluted shares fell 4.7% over four years. The dividend was raised each year and the payout was 66% of 2025 net income. Acquisitions of USD 4.5bn to USD 21.5bn a year in 2021 to 2025 added goodwill of USD 110.5bn, now 36% of total assets. Insider ownership is only 0.17%, so management's economic exposure to the share price comes mainly through stock compensation (USD 971m in 2025). Guidance reliability has been weak in the last two years; the third quarter of 2026 produced an upward revision of the 2026 outlook, which is the first evidence of recovery in execution.

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS

Metric	2021	2022	2023	2024	2025
Claims as % of revenue	65.0%	65.0%	65.1%	66.0%	70.0%
SG&A as % of revenue	14.8%	14.7%	14.7%	13.2%	13.0%
Operating margin	8.3%	8.8%	8.7%	8.1%	4.8%
EBITDA margin	9.4%	9.8%	9.8%	9.1%	5.7%
Net margin	6.0%	6.2%	6.0%	3.6%	2.7%
Return on equity	N/A	26.9%	26.9%	15.9%	12.9%
Return on assets	N/A	8.8%	8.6%	5.0%	4.0%

Source: StockAnalysis.com (S&P Global Market Intelligence) annual statements. Ratios calculated by the analyst from reported figures; EBITDA is operating income plus depreciation and amortization; return on equity uses net income over average common equity; return on assets uses average total assets. The provider reports a trailing return on invested capital of 12.4% and ROE of 15.8%.

Margins are the story. Claims moved from 65.0% to 70.0% of revenue in two years while SG&A fell 1.8 points as a share of revenue, a partial offset that was not enough. Return on equity halved from 26.9% to 12.9% because earnings fell and equity grew. Growth metrics over 2021 to 2025: revenue CAGR 11.7%, EBITDA CAGR negative 1.2%, diluted EPS CAGR negative 7.5% and free cash flow CAGR negative 5.2%, so revenue growth has not been profitable growth in this period. On efficiency, asset turnover is 1.47x and the company has no meaningful inventory; receivables and claims reserves matter more.

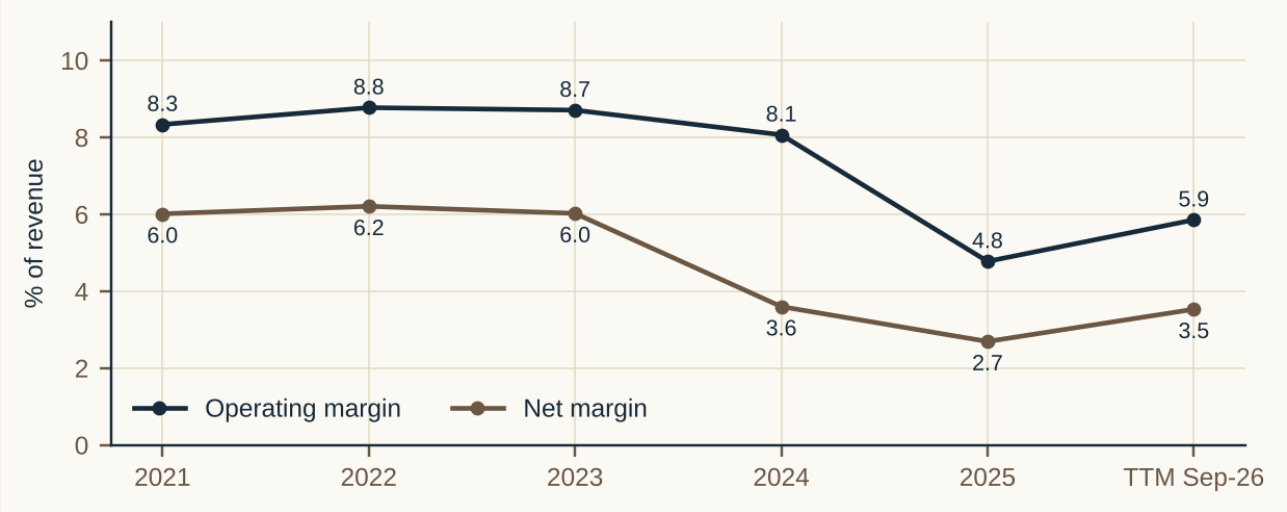
Days claims payable were 47.0 in the third quarter of 2026 against 46.2 a year before, an indication that reserving has not been loosened to flatter earnings.

LEVERAGE AND CASH FLOW

Metric	2021	2022	2023	2024	2025
Net debt, USD bn	24.6	34.3	37.1	51.6	58.6
Net debt / EBITDA	0.9x	1.1x	1.0x	1.4x	2.3x
Debt / equity (common)	0.64x	0.74x	0.70x	0.83x	0.88x
Interest coverage (EBIT)	14.4x	13.6x	10.0x	8.3x	5.3x
Operating cash flow / net income	1.29x	1.30x	1.30x	1.68x	1.63x
Free cash flow margin	6.9%	7.2%	6.9%	5.2%	3.6%
Capex / revenue	0.85%	0.86%	0.91%	0.87%	0.81%

Source: StockAnalysis.com annual balance sheet and cash flow statements. Net debt is total debt (including leases for 2025) less cash and equivalents, excluding investments of USD 55.8bn held largely by regulated insurance subsidiaries. Ratios calculated by the analyst.

Operating margin and net margin



Source: StockAnalysis.com annual income statements; 2026 column is trailing twelve months to 30 September 2026. Units: percent of revenue.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Medical cost trend	High	High	Claims were 70.0% of 2025 revenue; each point equals about USD 4.5bn of operating income.
2	Government payment policy	Medium	High	CMS premiums are 44% of revenue; rate or risk-adjustment cuts reduce margin directly.
3	Legal and regulatory action	Medium	High	Department of Justice and antitrust inquiries, pharmacy benefit manager reform and False Claims Act exposure.
4	Optum Health execution	Medium	Medium	Segment revenue fell to USD 22.9bn from USD 25.4bn in a year while margin was thin.
5	Leverage and interest cost	Low	Medium	Debt of USD 83.0bn; interest expense USD 4.0bn in 2025.
6	Cybersecurity	Medium	Medium	A 2024 data breach reportedly affected about 190 million people.
7	Valuation compression	Medium	Medium	Shares are up 30.6% in 2026; forward P/E of 18.7x assumes recovery.
8	Membership loss	Medium	Medium	Medicare Advantage members down 9.8% and Medicaid down 10.3% year on year.

Source: analyst assessment; figures from UnitedHealth Group filings and releases. Sensitivity of one point of claims share calculated as 1% of USD 450bn of revenue.

The three risks most capable of permanently impairing shareholder value are a structural failure of medical cost pricing, adverse legal or regulatory outcomes tied to Medicare Advantage practices, and a cut in government payment rates that cannot be repriced away.

B3. Valuation

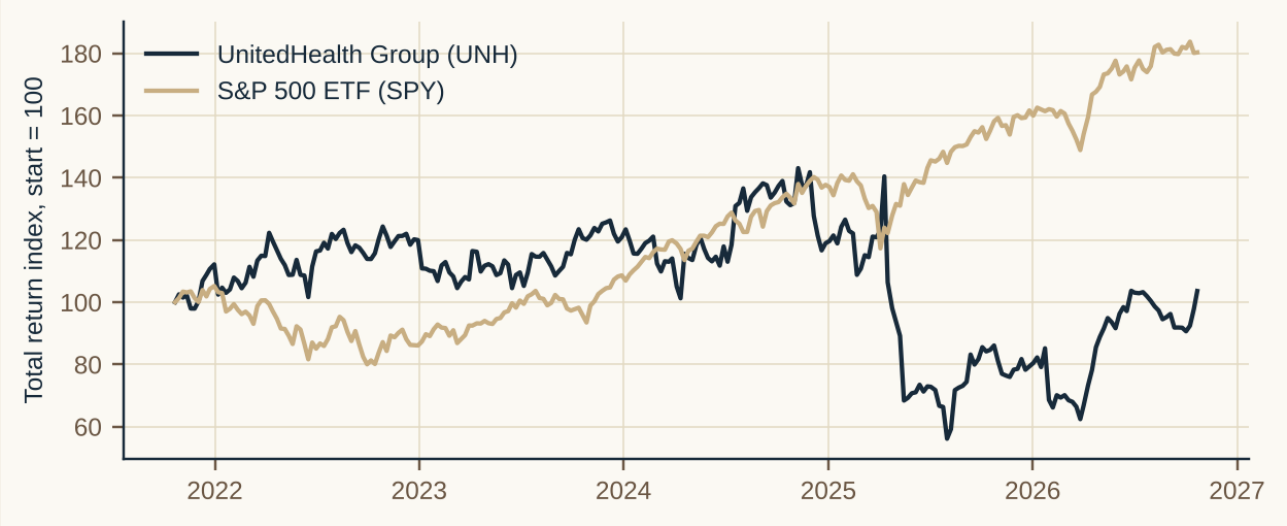
VALUATION MULTIPLES AT USD 424.98 (22 OCTOBER 2026)

Multiple	UnitedHealth	Peer range
Trailing P/E	24.2x	13.1x to 39.8x
Forward P/E	18.7x	9.9x to 34.0x
EV/EBITDA	14.9x	8.5x to 16.2x
P/FCF	16.7x	9.2x to 25.9x
Price / sales	0.85x	0.29x to 0.48x
EV/EBIT	16.3x	N/A
PEG	1.32x	N/A
Dividend yield	2.19%	N/A

Source: StockAnalysis.com statistics pages, 22 and 23 October 2026. Peers are Elevance Health, CVS Health, Cigna and Humana. A historical multiple series was not retrieved; on 2025 results the trailing P/E was 31.6x and P/FCF 23.7x, showing that today's multiples are lower than on the depressed 2025 figures.

UnitedHealth trades at a premium to Elevance, CVS and Cigna on every earnings and cash-flow multiple except Humana, whose earnings are cyclically depressed. The premium reflects higher margins (5.9% against 2.3 to 4.0%), a higher return on invested capital and the Optum assets. The market price implies that earnings per share recover from USD 17.50 trailing to roughly USD 22.6 (the forward P/E of 18.7x), operating margin returns to about 6.5 to 7%, and free cash flow returns toward USD 28 to 30bn. Compared with the 2021 to 2023 margin of 8.3 to 8.8%, these expectations are reasonable rather than optimistic, but the share price has already risen from USD 331.83 at the end of 2025. Twenty-six analysts have an average price target of USD 477.04, which is a market expectation and not a view expressed in this report.

Five-year total return: UnitedHealth Group against the S&P 500 ETF



Source: Alpha Vantage weekly adjusted prices, 22 October 2021 to 22 October 2026. Units: index, start = 100.

B4. Capital Market and Stock Analysis

PRICE RETURN, UNH AGAINST S&P 500 ETF (SPY), TO 22 OCTOBER 2026

Period	UNH total return	SPY total return	Difference
One week	4.5%	N/A	N/A
One month	12.8%	0.3%	12.5 pts
Three months	0.3%	3.0%	-2.7 pts
Six months	32.4%	8.1%	24.3 pts
Year to date	30.6%	11.5%	19.1 pts
One year	22.3%	16.2%	6.1 pts
Three years	-14.1%	88.1%	-102.2 pts
Five years	3.6%	80.3%	-76.7 pts

Source: Alpha Vantage weekly adjusted close (dividends included) for periods of one month and longer, measured from the nearest prior weekly observation; one-week return from daily closes. Calculated by the analyst.

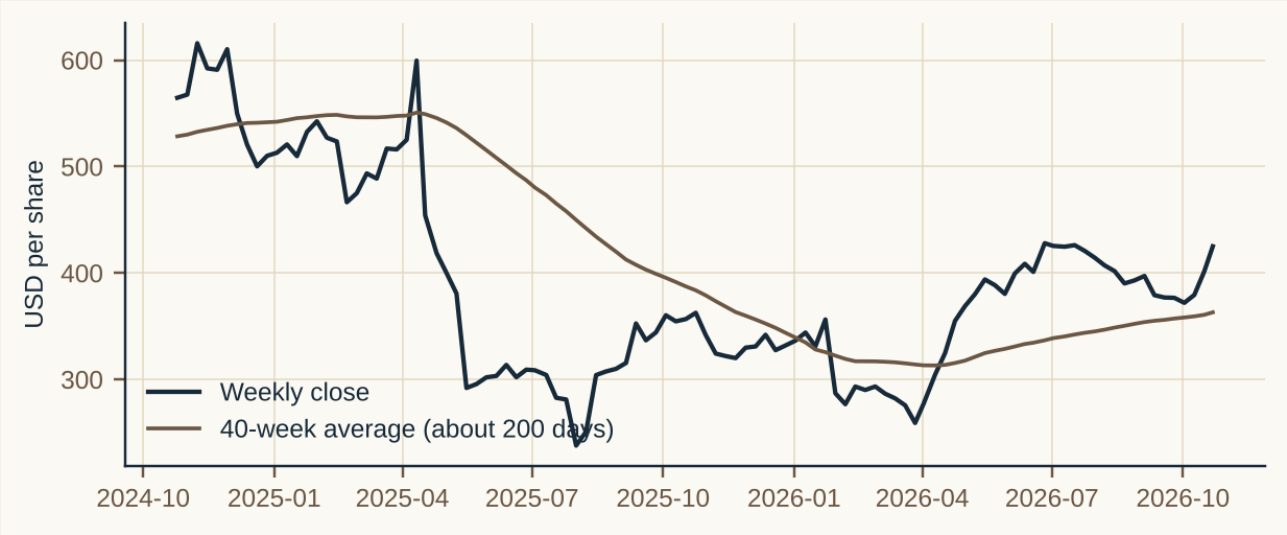
The shares peaked at USD 615.81 (weekly close, 8 November 2024), fell 60.8% to the low of August 2025 and have since recovered to USD 424.98, still 31% below the peak. Five-year performance of 3.6% against 80.3% for the market is the cost of the 2025 earnings reset. The 52-week weekly-close range is USD 259.02 to USD 427.89, and the highest intraday price of the past year was USD 461.62 on 16 July 2026.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, one year (weekly)	34.4%	Calculated
Annualized volatility, five years (weekly)	34.1%	Calculated
Annualized volatility, last 65 trading days (daily)	23.6%	Calculated
Downside volatility, five years	28.3%	Calculated
Maximum drawdown, five years	-60.8% (to August 2025)	Calculated
Beta versus S&P 500 ETF, ten years (weekly)	0.79	Calculated
Beta versus S&P 500 ETF, five years (weekly)	0.32	Calculated
Beta, five years (monthly, provider)	0.61	Reported
Correlation with benchmark, five years	0.15	Calculated

Source: Alpha Vantage weekly adjusted prices; StockAnalysis.com for provider beta. Beta is low in recent years because stock-specific events dominated market moves.

UNH weekly closing price and 40-week moving average



Source: Alpha Vantage weekly prices, 22 October 2024 to 22 October 2026. Units: USD per share.

Technically the stock is in a clear uptrend: it is above both the 50-day average of USD 388.68 and the 200-day average of USD 361.06, and the 10-week average (USD 389) is above the 40-week average (USD 363). The 14-day RSI of about 81 (provider reading 70.8 on a different window) and a MACD of 9.1 against a signal of 3.5 show a stretched short-term condition after a 14% one-month gain. The 14-week average true range is about USD 21, or 5% of the price. Support lies near USD 375 to 380, where the shares traded through late September and early October, and resistance near the USD 427 to 436 area reached in July. Volume on 13 October, the day of the third-quarter earnings call, was 12.5 million shares against a typical 4 to 5 million, which marks a repositioning and not a drift. These indicators describe sentiment and momentum; they do not say whether the price is justified by earnings, which is the subject of section B3. Short interest is low at 1.78% of shares outstanding and institutions hold 89.1%.

C. Financial Statements

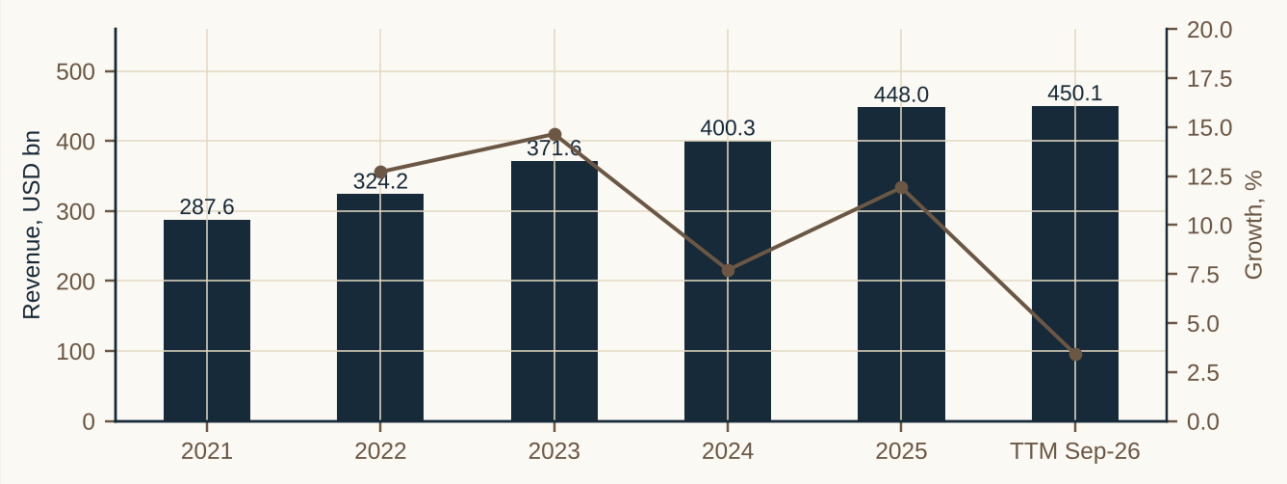
C1. Income Statement

INCOME STATEMENT SUMMARY, USD BN EXCEPT PER SHARE

Item	2021	2022	2023	2024	2025	TTM Sep-26
Revenue	287.6	324.2	371.6	400.3	448.0	450.1
Revenue growth	11.8%	12.7%	14.6%	7.7%	11.9%	3.4%
Policy benefits	186.9	210.8	241.9	264.2	313.4	307.2
SG&A	42.6	47.8	54.6	53.0	58.2	59.6
Operating income	24.0	28.4	32.4	32.3	21.4	26.3
Interest expense	1.7	2.1	3.2	3.9	4.0	3.9
Pretax income	22.3	26.3	29.1	20.1	14.7	19.7
Income tax	4.6	5.7	6.0	4.8	1.9	3.1
Net income	17.3	20.1	22.4	14.4	12.1	15.9
Diluted EPS, USD	18.08	21.18	23.86	15.51	13.23	17.50
Diluted shares, m	956	950	938	929	911	907

Source: StockAnalysis.com (S&P Global Market Intelligence), fiscal years ending 31 December, US GAAP, reported figures. The provider lists 2025 revenue of USD 447,964m in its income statement and USD 447,567m in its segment table; the income statement figure is used. Pretax income in 2024 and 2025 includes losses on asset sales (USD 8.3bn in 2024) and a restructuring charge (USD 2.4bn in 2025).

Revenue and annual growth



Source: StockAnalysis.com annual income statements; last column is trailing twelve months to 30 September 2026. Units: USD bn and percent.

Revenue growth came from premium growth (USD 226.2bn in 2021 to USD 352.2bn in 2025), acquisitions funded with USD 4.8bn to USD 21.5bn a year and growth in services revenue, not from price alone; the filings do not separate volume, price and mix in the data retrieved here. The trailing growth rate of 3.4% reflects deliberate shrinkage of unprofitable business: Medicare Advantage and Medicaid membership fell and Optum Health revenue declined 9.9% in the third quarter. Operating leverage was negative in 2024 and 2025: revenue grew 7.7% and 11.9% while operating income fell 0.2% and 33.8%. Margins are contracting from the 2023 level and have begun to expand again, from 4.8% in 2025 to 5.9% trailing and to 5.8% for the third quarter of 2026 (USD 6.6bn on USD 112.7bn). The company reports adjusted EPS (USD 4.69 in the third quarter against GAAP USD 4.56); the difference of USD 0.13 is small in 2026 but was larger in 2025, when GAAP EPS of USD 13.23 compared with adjusted USD 16.35 as reported by trade press. Adjusted figures exclude amortization and special items and should not be treated as superior to GAAP.

C2. Balance Sheet

BALANCE SHEET SUMMARY, USD BN, 31 DECEMBER

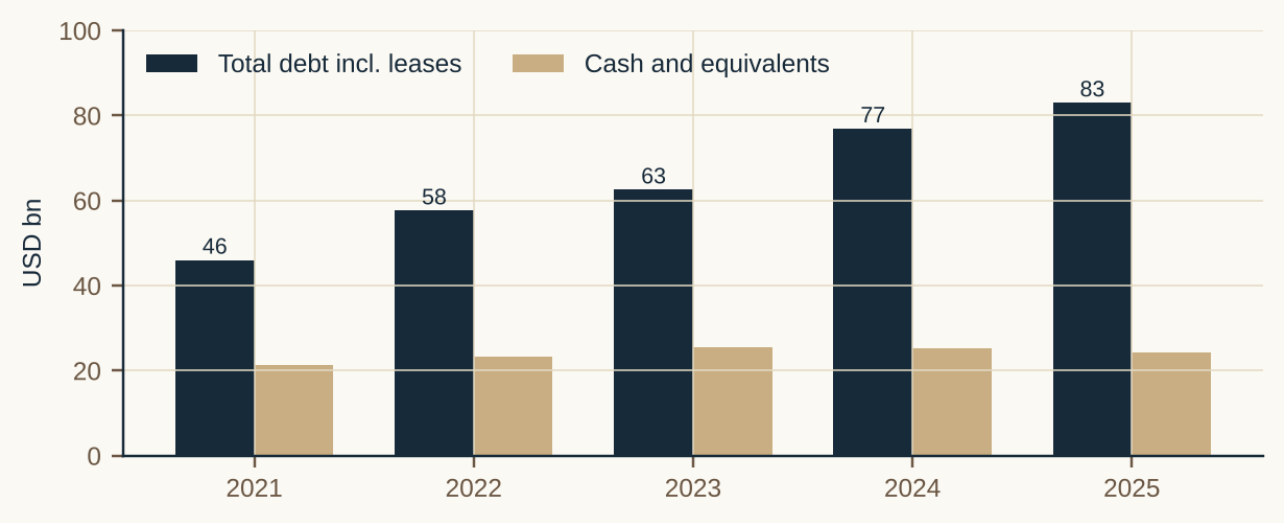
Item	2021	2022	2023	2024	2025
Cash and equivalents	21.4	23.4	25.4	25.3	24.4
Investments	43.8	46.7	49.9	54.1	55.8
Goodwill	75.8	93.4	103.7	106.7	110.5
Other intangibles	13.6	18.6	20.2	28.9	26.5
Total assets	212.2	245.7	273.7	298.3	309.6
Unpaid claims	24.5	29.1	32.4	34.2	39.3
Total debt	46.0	57.6	62.5	76.9	83.0
Total liabilities	135.7	159.4	174.8	195.7	207.9
Common equity	71.8	77.8	88.8	92.7	94.1
Minority interest	4.7	8.6	10.2	9.9	7.6

Source: StockAnalysis.com annual balance sheets; US GAAP, reported. 2025 total debt includes lease liabilities of USD 4.6bn.

Total debt rose by USD 37.0bn between 2021 and 2025, funding acquisitions and shareholder returns, while common equity rose only USD 22.4bn. Net debt reached USD 58.6bn (2.3x EBITDA) and the provider calculates trailing debt to EBITDA of 2.44x and debt to equity of 0.70x. The current ratio is 0.74 and the quick ratio 0.42, which is normal for an insurer holding long-

dated investments against short-term claims but leaves little slack in working capital. Tangible book value is negative at USD 42.9bn because goodwill and intangibles total USD 137.0bn, or 44% of assets, so an impairment would not breach liquidity but would reduce equity. Unpaid claims grew 60.7% from 2021 to 2025, slightly faster than revenue (55.8%), consistent with prudent reserving. The company targets debt to capital of about 40% by year end against 41.7% at 30 September 2026. Red flags to watch are goodwill concentration, the rise in net debt and the growing share of lease obligations.

Total debt and cash and equivalents



Source: StockAnalysis.com annual balance sheets, 31 December. Units: USD bn.

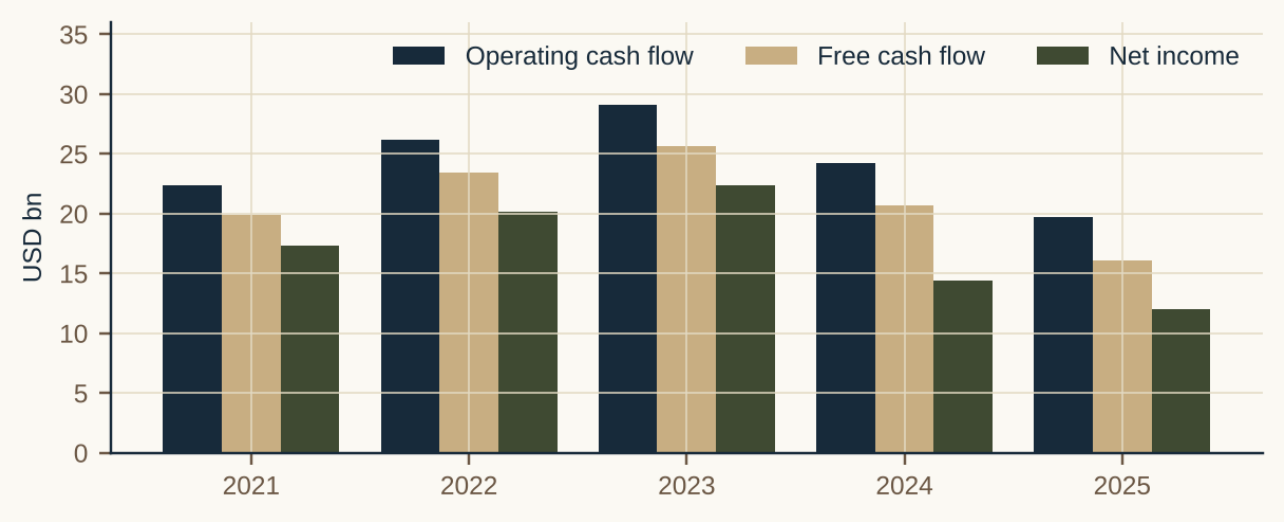
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD BN

Item	2021	2022	2023	2024	2025
Operating cash flow	22.3	26.2	29.1	24.2	19.7
Capital expenditure	2.5	2.8	3.4	3.5	3.6
Free cash flow	19.9	23.4	25.7	20.7	16.1
Acquisitions	4.8	21.5	10.1	13.4	4.5
Dividends paid	5.3	6.0	6.8	7.5	7.9
Share repurchases	5.0	7.0	8.0	9.0	5.5
Net debt issued	2.5	12.5	4.3	14.7	0.7
Financing cash flow	-7.5	4.2	-11.5	-3.5	-11.6

Source: StockAnalysis.com annual cash flow statements, reported. Free cash flow is operating cash flow less capital expenditure, calculated.

Operating cash flow, free cash flow and net income



Source: StockAnalysis.com annual cash flow statements. Units: USD bn.

Net income and cash generation diverged in 2024 and 2025: operating cash flow was 1.68x and 1.63x net income because earnings were reduced by non-cash and non-operating items (the USD 8.3bn loss on asset sales in 2024 and the restructuring charge in 2025) and because insurance reserves rose by USD 5.8bn in 2025. Free cash flow of USD 16.1bn in 2025 covered dividends of USD 7.9bn 2.0 times but not dividends plus buybacks plus acquisitions (USD 17.9bn). In the first nine months of 2026 operating cash flow was USD 25.1bn against USD 18.6bn in the same period of 2025, with repurchases of USD 5.0bn and dividends of USD 6.2bn, so cash generation has recovered faster than reported profit. Capital intensity is stable at 0.8 to 0.9% of revenue. Growth in claims reserves is a source of cash that reverses if membership shrinks, so part of the improvement is working-capital timing.

C4. Forecasting and Projections

Base-case projections are built from the trailing revenue of USD 450.1bn. The company guides to 2026 adjusted EPS of at least USD 20.50, GAAP EPS of at least USD 19.50 and net earnings above USD 17.65bn. Reported analyst consensus implies revenue growth of about 3.0% a year and EPS growth of about 18% a year over three years. The model below uses lower growth than the long-run 11.7% CAGR because membership is falling and pricing has already been reset.

SCENARIO ASSUMPTIONS AND FIVE-YEAR OUTPUTS

Assumption	Bear	Base	Bull
Revenue growth, years 1 to 5	0.0 to 2.5%	3.0 to 4.0%	4.0 to 6.0%
Free cash flow margin, year 1	4.2%	5.0%	5.3%
Free cash flow margin, year 5	4.3%	5.5%	6.5%
Revenue, year 5, USD bn	491.9	537.1	579.8
Free cash flow, year 5, USD bn	21.2	29.5	37.7
WACC	8.5%	8.0%	7.5%
Terminal growth	2.0%	2.5%	3.0%
Value per share, USD	285	494	780

Source: analyst model using StockAnalysis.com reported financials and company outlook. Maintenance and growth capex are not separated in company disclosures; capex is held near 0.8% of revenue inside the free cash flow margin. Working capital is treated as neutral because reserve growth offsets receivable growth over the cycle.

Revenue growth drivers are pricing (premium increases following the cost reset), Optum Rx volume and Optum Insight backlog, offset by membership loss and divestitures. Gross margin is not a reported metric for an insurer; the equivalent, the claims ratio, should fall from 70.0% in 2025 toward 67 to 68% in the base case. SG&A efficiency has already contributed (13.0% of revenue in 2025 against 14.8% in 2021). Research and development is not separately disclosed.

C5. Discounted Cash Flow (DCF) Model

The DCF discounts five years of free cash flow, mid-year convention, and a Gordon growth terminal value. The base case uses revenue of USD 450.06bn growing 3.5%, 4.0%, 4.0%, 3.5% and 3.0%, a free cash flow margin rising from 5.0% to 5.5%, a WACC of 8.0% (the provider's own estimate is 7.1%; a higher rate is used because of legal and regulatory uncertainty), terminal growth of 2.5%, a tax rate embedded in free cash flow, net debt of USD 48.5bn (enterprise value less market capitalization), minority interest of USD 7.6bn and 897.6 million shares. The terminal value is USD 550.5bn, 78% of total value.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE IN USD, BASE CASE CASH FLOWS

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.0%	511	558	616	688	781
7.5%	464	502	549	606	677
8.0%	424	456	494	540	596
8.5%	389	417	448	486	531
9.0%	360	383	410	441	478

SENSITIVITY: FREE CASH FLOW MARGIN CHANGE (ROWS) AGAINST REVENUE GROWTH CHANGE (COLUMNS), VALUE PER SHARE IN USD, WACC 8.0%, TERMINAL GROWTH 2.5%

Margin change	-2 pts	-1 pt	Base	+1 pt	+2 pts
-1.0 pt	353	372	392	412	433
-0.5 pt	400	421	443	466	489
Base	447	470	494	519	545
+0.5 pt	494	519	545	572	600
+1.0 pt	540	568	596	625	656

Source: analyst model. Columns shift annual revenue growth in every year by the stated points.

The reasonable valuation range is about USD 410 to USD 600 per share across WACC of 7.5 to 9.0% and terminal growth of 2.0 to 3.0% in the base case, with scenario extremes of USD 285 and USD 780. This is a range created by explicit assumptions and not a precise intrinsic value. The current price of USD 424.98 matches the model when the discount rate is about 8.5 to

9.0% or when the free cash flow margin recovers to only about 4.5 to 4.8%, so the market is pricing in a partial recovery with some regulatory risk premium.

C6. Leveraged Buyout (LBO) Model

Not applicable. At an enterprise value of USD 429bn the company is far beyond the size of any financing package available to a leveraged buyout, and its regulated insurance subsidiaries restrict the movement of cash to service acquisition debt.

D. Investment Thesis

Bull Case

Medical cost trend stays below pricing, so the claims ratio returns to 66 to 67% and operating margin to 8%. Revenue grows 5 to 6% as Optum Rx and Optum Insight expand and Medicare Advantage rates remain favorable. Optum Health returns to double-digit segment earnings, free cash flow reaches USD 35bn or more by year five and debt to capital falls below 40%, supporting buybacks. At a forward P/E that holds near 18 to 20x on earnings above USD 27 per share, the DCF scenario value is about USD 780, though that case relies on 82% of value in the terminal period.

Bear Case

Cost trend again exceeds pricing, the Department of Justice matters result in large penalties or required changes to risk-adjustment practice, and Medicare Advantage rates fall short of cost growth. Revenue stagnates at 0 to 2.5% growth, free cash flow margin stays near 4.3%, Optum Health remains marginal and the multiple compresses toward the peer range of 10 to 15x forward earnings. The bear DCF value is about USD 285, a decline of one third from the current price, and leverage becomes a constraint if EBITDA falls.

Base Case

Revenue grows 3 to 4% a year, the claims ratio falls gradually from 70.0% to 67 to 68%, operating margin settles between 6 and 7%, and free cash flow margin rises to 5.5%. Dividends continue to rise, buybacks resume at USD 5 to 6bn a year and net debt stays near USD 50bn. The valuation range of USD 410 to USD 600 is centered on about USD 494, above the present price of USD 424.98 by 16%, a model output that is sensitive to the discount rate and not a price forecast.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Fourth quarter and full-year 2026 results	Expected early 2027	First test of the raised outlook (adjusted EPS of at least USD 20.50).
2027 Medicare Advantage final rate notice	Early 2027	Sets premium growth for the largest revenue line.
Department of Justice outcomes	Undated	Resolution removes the largest legal overhang or crystallizes a penalty.
Optum Health restructuring	Through 2027	Return to sustained segment profit adds earnings with little revenue.
Debt reduction to 40% of capital	Year end 2026	Allows buybacks to resume at pace.
Pharmacy benefit manager reform	Undated	Could reduce Optum Rx spreads or clarify the rules.

Source: UnitedHealth Group third quarter 2026 earnings release and analyst assessment.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Medical care ratio	Drives margin	Below 88% in quarterly reports	Above 90%
Days claims payable	Reserve adequacy	Stable near 47 days	Falling below 45 days
Medicare Advantage membership	Scale of the largest program	Stabilizing near 7.6 million	Falling below 7 million
Optum Health earnings	Restructuring progress	Quarterly earnings above USD 0.7bn	Return to losses
Debt to capital	Balance-sheet capacity	At or below 40%	Above 42%
Free cash flow	Dividend and buyback capacity	Trailing above USD 22bn	Below USD 16bn

Source: analyst assessment; thresholds are the analyst's reference levels, not company targets, except debt to capital.

E. Final Investment Framework

BUSINESS QUALITY	High. Diversified insurance, care delivery, pharmacy and data operations with 8 to 9% operating margins in 2021 to 2023.
FINANCIAL QUALITY	Moderate. Cash flow exceeds earnings but free cash flow has fallen 37% since 2023 and net debt has more than doubled since 2021.
COMPETITIVE POSITION	Strong. Largest US insurer by revenue with 48.3 million medical members and an integrated Optum platform.
MANAGEMENT	Moderate. Experienced leadership returned in 2025 and the 2026 outlook was raised, but guidance credibility was damaged in 2025 and insider ownership is 0.17%.
INDUSTRY	Mature, cyclical and politically exposed. Profit depends on claims trends and on federal payment rules.
VALUATION	Neutral. Premium to peers on earnings multiples; DCF range of USD 410 to USD 600 against a price of USD 424.98.
TECHNICAL AND MARKET STRUCTURE	Uptrend above 50-day and 200-day averages, overbought in the short term with an RSI above 80 and support near USD 375 to 380.
PRINCIPAL RISK	Medical cost trend exceeding pricing, particularly in Medicare Advantage.
PRINCIPAL CATALYST	Delivery of the raised 2026 outlook (adjusted EPS of at least USD 20.50) and the 2027 Medicare Advantage rate notice.
KEY VARIABLE	The medical care ratio: each percentage point of claims share equals about USD 4.5bn of operating income.
THESIS INVALIDATION	The investment thesis would become materially weaker if the quarterly medical care ratio exceeds 90%, if trailing free cash flow falls below USD 16bn, if debt to capital rises above 42%, or if a Department of Justice resolution requires a material change to Medicare Advantage risk-adjustment practice.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 380.7bn	N/A	N/A
Market	Enterprise value	USD 429.2bn	N/A	N/A
Market	Share price	USD 424.98	USD 356.60	3Y -14.1%; 5Y 3.6%
Growth	Revenue growth	3.4% (TTM)	11.9% (2025)	5Y CAGR 11.7%
Profitability	Operating margin	5.9% (TTM)	4.8% (2025)	2021: 8.3%
Profitability	Net margin	3.5% (TTM)	2.7% (2025)	2021: 6.0%
Profitability	ROE	15.8% (TTM)	12.9% (2025)	2022: 26.9%
Profitability	ROIC	12.4% (TTM)	N/A	N/A
Cash flow	Operating cash flow	USD 19.7bn (2025)	USD 24.2bn	2021: USD 22.3bn
Cash flow	Free cash flow	USD 16.1bn (2025)	USD 20.7bn	2021: USD 19.9bn
Leverage	Net debt / EBITDA	2.3x (2025)	1.4x	2021: 0.9x
Valuation	P/E	24.2x trailing	31.6x on 2025 EPS	N/A
Valuation	EV/EBITDA	14.9x	N/A	N/A
Valuation	P/FCF	16.7x	23.7x on 2025 FCF	N/A
Market	Beta	0.61 (provider, 5Y)	N/A	10Y weekly 0.79
Market	Volatility	34.4% (1Y weekly)	N/A	5Y 34.1%
Market	Maximum drawdown	-27.5% (1Y)	N/A	5Y -60.8%

Source: StockAnalysis.com, Alpha Vantage and UnitedHealth Group filings. Prior year share price is the 17 October 2025 weekly close.

G. Sources and Methodology

Data cross-check

Financial statements and ratios come from one provider (StockAnalysis.com, using S&P Global Market Intelligence data) and were cross-checked against the company's third quarter 2026 earnings release for segment revenue, earnings, operating cash flow, share repurchases, dividends and debt to capital: trailing figures reconcile. One discrepancy was found: the provider's income statement shows 2025 revenue of USD 447,964m, its segment table USD 447,567m, and trade press cites USD 447.6bn; the income statement figure is used for consistency with the other lines and the difference is 0.1%. Prices from the two market-data providers (closing prices of USD 424.98 on 22 October 2026) agree. Share prices on 23 October 2026 were intraday and are not used. Net debt from the balance sheet (USD 58.6bn, cash only) differs from the provider's enterprise value bridge (USD 48.5bn, which also nets other items); each is labelled where used.

Source list

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Calculations

Calculated by the analyst from the reported figures above: margins, claims and SG&A ratios, EBITDA (operating income plus depreciation and amortization), return on equity and assets, net debt, leverage and coverage ratios, compound growth rates, price returns over each period, annualized volatility (weekly standard deviation times the square root of 52), downside volatility, beta (covariance with SPY over variance of SPY), maximum drawdown on adjusted prices, RSI and MACD (daily closes, 14-day and 12/26/9 exponential averages), the discounted cash flow model and the scenario table.

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